VA Servicing Purchase – Bankruptcy Testing Template

Program: VA Servicing Purchase (VASP) | Test Period: December 2024 | Governing Reference: VA Servicer Handbook M26-4, Chapter 9

Population: Mortgage accounts flagged for bankruptcy and evaluated for VASP

Test Question 1 – Paragraph 9.07(a)(2)(a)

Test Question 1

For each bankruptcy-flagged mortgage account evaluated under VASP during December 2024 in which the borrower filed a bankruptcy petition while the trial payment plan (TPP) was running, did the servicer (a) where the petition was under Chapter 13, obtain and retain evidence that the bankruptcy court approved or acquiesced in the VASP; and (b) where the petition was under Chapter 7, refrain from advancing the account to VASP until the bankruptcy proceedings were closed? Record Yes, No, or N/A for each scenario and identify the account reference and the supporting documentation reviewed.

Citation: VA Servicer Handbook M26-4, Chapter 9, paragraph 9.07(a)(2)(a) (Chapter 9 revision effective August 12, 2024).

Exception Statement

The servicer did not comply with VA Servicer Handbook M26-4, Chapter 9, paragraph 9.07(a)(2)(a). Account [Account Reference] was advanced under VASP after the borrower filed a Chapter 13 bankruptcy during the trial payment plan, yet the loan file contains no evidence that the bankruptcy court approved or acquiesced in the VASP. The servicer proceeded without obtaining and retaining this evidence, and the bankruptcy-related condition attached to VASP participation was therefore not satisfied. Where applicable, the servicer also advanced Account [Account Reference] under VASP after the borrower filed a Chapter 7 bankruptcy during the trial payment plan and before the bankruptcy proceedings were closed, contrary to the same paragraph. This account is reported as an exception for the December 2024 test period.

Test Question 2 – Paragraph 9.08(c)(3)

Test Question 2

For each bankruptcy-flagged mortgage account evaluated under VASP during December 2024 in which the borrower's VA-guaranteed loan debt was discharged through a Chapter 7 bankruptcy, does the VASP loan modification document prepared for the account contain the discharge statement that VA prescribes for such accounts? Record Yes, No, or N/A, and identify the account reference and the modification document reviewed.

Citation: VA Servicer Handbook M26-4, Chapter 9, paragraph 9.08(c)(3) (Chapter 9 revision effective August 12, 2024).

Exception Statement

The servicer did not comply with VA Servicer Handbook M26-4, Chapter 9, paragraph 9.08(c)(3). Account [Account Reference] involved a borrower whose VA-guaranteed loan debt was discharged in a Chapter 7 bankruptcy. The VASP loan modification document prepared for this account omitted the discharge statement that VA requires, which is intended to ensure the modification is not read as an attempt to impose or collect personal liability that was discharged in bankruptcy. The servicer's failure to include the prescribed statement constitutes non-compliance with the program requirement for modification documents in cases of Chapter 7 discharge. This account is reported as an exception for the December 2024 test period, and corrective action and monitoring are required.

Testing Notes and Assumptions

• The Chapter 9 revision effective August 12, 2024 is treated as the governing text for the December 2024 test period. Paragraph wording was checked against the publicly posted Chapter 9 copy; confirm against the archived version in effect during December 2024 before finalizing.

• Bracketed fields, such as [Account Reference], are placeholders to be completed for each sampled account.

• Paragraph 9.07(a)(2)(a) refers to bankruptcy court approval or acquiescence. The test question follows that wording and does not treat Chapter 13 trustee consent as a substitute.

• Exception statements are to be used only where the tester records a "No" response. Where the response is "N/A" or "Yes," no exception is reported.